Marketing Glossary

SaaS and software-industry terms for market research

A compact reference of the terms used to read market reports, size an opportunity, compare competitors, and follow public SaaS companies. Definitions are written for a founder who is new to the category — short enough to scan, precise enough to use.

1. What SaaS sits inside

Term	Meaning
SaaS	Software as a Service — software used in a browser or app, hosted by the vendor, paid on subscription or usage.
IaaS	Infrastructure as a Service — raw compute, storage, and networking (e.g. AWS EC2).
PaaS	Platform as a Service — tools to build applications on (e.g. Heroku).
On-premise	Software installed on the customer's own servers. The model SaaS largely replaced.
Multi-tenant	Many customers share one system. Standard, lower-cost SaaS architecture.
Single-tenant	One customer gets an isolated instance. Common in regulated industries.
API / integration	How other software talks to yours. Buyers often choose tools that plug into existing stacks.

2. How the market is sliced

Term	Meaning
B2B / B2C / B2B2C	Sell to companies / consumers / companies that serve consumers.
SMB	Small and midsize businesses. Faster deals, lower prices, usually higher churn.
Mid-market	Companies roughly tens to a few hundred employees.
Enterprise	Large companies. Long sales cycles, big contracts, security reviews.
Horizontal SaaS	Useful across industries (CRM, email, project tools). Huge market, heavy competition.
Vertical SaaS	Built for one industry (dental, construction, legal). Smaller TAM, often easier to win.
Category	The shelf the product sits on (CRM, ERP, HCM, cybersecurity). Research is done at this level.
Prosumer	A professional or freelancer buying like a consumer.
Wedge / beachhead	The first narrow use case or customer type you attack before expanding.

3. Market sizing

Term	Meaning
TAM	Total Addressable Market — revenue if every possible buyer purchased at your price. Theoretical ceiling.
SAM	Serviceable Addressable Market — the part of TAM you can serve with this product, price, geography, and regulation.
SOM	Serviceable Obtainable Market — the slice of SAM you can realistically win in 1–3 years.
Top-down sizing	Start from an analyst total and take a percentage. Fast, easy to inflate.
Bottom-up sizing	Count ICP companies × ACV. More credible for planning.
ARPU / ARPA	Average revenue per user or per account. Turns customer count into market dollars.
ACV	Annual Contract Value — what one customer pays per year.
TCV	Total Contract Value — full multi-year contract, not one year.
CAGR	Compound Annual Growth Rate — smoothed yearly market growth.
Wallet share	How much of a buyer's software budget you capture versus other tools.

4. Who you sell to

Term	Meaning
ICP	Ideal Customer Profile — the company type that gets the most value and pays well (industry, size, stack, pain).
Buyer persona	The human who buys or uses the product (office manager, CTO, founder).
Economic buyer	The person who signs the check.
Champion	The internal advocate pushing for your product.
End user	The person who lives in the product daily.
JTBD	Jobs to Be Done — the outcome the customer hires software for, not the feature list.
Pain / urgency / budget	A market is a group that feels the pain now and already spends money or time on a workaround.

5. Pricing models

Term	Meaning
Subscription	Recurring monthly or annual fee. Default SaaS model.
Per-seat / per-user	Price × number of users. Simple; buyers dislike unused seats.
Tiered / feature-based	Starter / Pro / Business / Enterprise with different features and limits.
Usage-based	Pay for consumption (API calls, storage, AI credits). Bills can spike.
Hybrid pricing	Base subscription plus usage. Common for AI features.
Freemium	Forever-free limited product plus paid upgrades. Conversion is often only a few percent.
Free trial	Time-boxed access, then the customer must pay.
Outcome-based	Price tied to a result delivered, not seats or raw usage.

6. Go-to-market

Term	Meaning
GTM	Go-to-Market — who you sell to, through which channel, at what price, with what motion.
PLG	Product-Led Growth — the product sells itself via signup, trial, and in-app upgrade.
SLG	Sales-Led Growth — reps demo, negotiate, and close. Fits expensive deals.
Hybrid-led	Self-serve at the bottom; sales when usage or company size crosses a line.
Inbound	Customers find you (SEO, content, product).
Outbound	You find customers (email, LinkedIn, calls).
Sales cycle	Time from first contact to paid contract.
Land and expand	Win a small first deal, then grow seats, modules, or usage inside the account.

7. Core SaaS metrics

Term	Meaning
MRR	Monthly Recurring Revenue — normalized monthly subscription revenue. Exclude one-time fees.
ARR	Annual Recurring Revenue — MRR × 12. Headline B2B number.
Net New MRR	New + expansion − contraction − churn. True monthly growth.
Logo churn	Percent of customers who leave.
Revenue churn	Percent of revenue that leaves.
NRR / NDR	Net Revenue (or Dollar) Retention — do existing customers spend more or less a year later? Above 100% means the base grows alone.
GRR	Gross Revenue Retention — same idea as NRR, but no credit for expansion.
CAC	Customer Acquisition Cost — fully loaded sales and marketing spend ÷ new customers.
LTV	Lifetime Value — what a customer is worth before they leave. Roughly ARPU ÷ churn rate.
LTV:CAC	Rule of thumb: about 3:1 or better is healthy.
CAC payback	Months to earn back what you spent to acquire the customer.
Gross margin	Revenue minus cost to deliver, as a percent. Strong SaaS is often ~70%+.
Burn / runway	How fast cash is spent, and how many months of cash remain.
Rule of 40	Growth rate % + profit margin % ≥ 40. Later-stage health check.

8. Product and validation

Term	Meaning
MVP	Minimum Viable Product — smallest version that tests whether anyone cares.
PMF	Product–Market Fit — customers keep paying and telling others.
Activation	The moment a new user first gets value. Different from signup.
Cohort	A group of customers who started in the same week or month, tracked together.
Retention	Whether users come back and keep paying.
Switching cost	How painful it is to leave the current tool.
Incumbent	The established product already sitting in the account.
Build vs buy vs status quo	Real competitors include spreadsheets and doing nothing, not only branded SaaS.
Moat	Why a winner stays winning: data, workflow lock-in, network effects, brand, compliance.

9. Research-industry jargon

Term	Meaning
Analyst firms	Gartner, Forrester, IDC and similar publishers of market sizes and vendor rankings.
Magic Quadrant / Wave	Gartner / Forrester maps of vendors in a category.
Category creation	Trying to name a new market. Hard; most first products enter an existing shelf.
Commoditized category	Many similar tools, price pressure, buyers treat them as interchangeable.
Penetration	Share of possible buyers who already use some solution.
Bundling / unbundling	Suites absorb point tools; startups peel one job out of a suite.
AI-native / agentic	Product built around AI or agents, often priced on usage or outcomes.

10. IPO and public markets

Term	Meaning
IPO	Initial Public Offering — first sale of shares to the public and listing on an exchange.
Private vs public	Private ownership is founders/funds; public companies disclose financials and anyone can buy the stock.
Ticker	Short trading code (CRM, HUBS, NOW).
S-1 / prospectus	SEC registration filing before an IPO. Rich source of market, competitor, and risk detail.
SEC / EDGAR	US regulator and its free public filing database.
10-K / 10-Q / 8-K	Annual report / quarterly report / material-event filing after IPO.
Underwriters	Banks that price the IPO, find buyers, and run the roadshow.
Roadshow	Management's investor pitch tour before pricing.
Offer price / pop	IPO sale price versus the first public trade.
Primary vs secondary	New shares fund the company; secondary shares cash out existing holders.
Market cap	Share price × shares outstanding.
Float	Shares actually trading in public hands.
Lockup	Usually 90–180 days when insiders cannot sell after IPO.
Quiet period	Window when the company and bankers cannot hype the stock beyond the prospectus.
Greenshoe	Option for underwriters to sell extra shares to stabilize early trading.
Direct listing	Goes public without a classic underwritten IPO.
SPAC	Shell company that IPOs first, then merges with a private firm to take it public.
Follow-on offering	Selling more shares after the company is already public.
Comps / multiples	Public peers used as a yardstick; value often expressed as a multiple of revenue or ARR.
IPO window	Periods when public markets want new tech listings.
RPO	Remaining Performance Obligations — contracted revenue not yet recognized.
Guidance	Management's public forecast of future results.

11. Funding path before IPO

Term	Meaning
Bootstrapped	Built mainly on customer revenue, little or no venture capital.
Pre-seed / seed	First outside money to find a product and first customers.
Series A / B / C	Larger rounds used to scale sales, product, and geography.
Growth equity	Late-stage capital when the model already works.
Unicorn	Private company valued at $1B or more.
Valuation	What a funding round implies the company is worth.
Dilution	Founder ownership shrinks as new shares are issued.
Cap table	Who owns how much of the company.
Exit	How investors get cash: IPO, acquisition, or a private share sale.
M&A	Merger and acquisition — a company is bought. More common than IPO for most SaaS firms.

How to use this list: start with the job/pain and ICP, name the category, list alternatives (including spreadsheets), size SAM then SOM, note pricing and GTM, then look for retention clues. Public filings (S-1, 10-K) are a free research library — you do not need to plan an IPO to read them.